Lambeth

OVERVIEW AND SCRUTINY COMMITTEE, 26 JANUARY 2026

Report title: Developer Contributions: Community Infrastructure Levy (CIL) and Section 106 Planning Obligations (s106)

Wards: All

Portfolio: Cabinet Member for Housing, Investment and New Homes, Councillor Danny Adilypour

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REPORT SUMMARY

This report provides an overview of the different types of developer contributions used in Lambeth - namely the Community Infrastructure Levy (CIL), Neighbourhood CIL (NCIL) and Section 106 planning obligations (s106) along with the legislative frameworks that govern their use. In addition to providing regulation and policy context, this report sets out the current financial position regarding developer contributions, outlines recent monitoring and enforcement activity and includes case studies that demonstrate how contributions are delivering tangible outcomes for communities. It also clarifies the remit of the Council's CIL/s106 and Development Infrastructure teams, explains the governance arrangements that underpin monitoring and allocations, and highlights opportunities to further strengthen transparency, improve delivery, and ensure alignment with the Council's Growth Plan, Lambeth Local Plan, Infrastructure Delivery Plan and Borough Plan.

FINANCE SUMMARY

This report provides an overview of the development contributions received by the Council as of December 2025, along with projections of possible contributions in future years. It should be noted that these projections are indicative and subject to change, influenced by broader economic conditions, variations in development activity, and potential changes in national policy or legislation.

RECOMMENDATIONS

1. Note the contents of the report, including the legislation that governs the spending of developer contributions, along with improvements that have been delivered in the monitoring and enforcement over the past five years and to note the risks and difficulties associated with spending of some types of s106 obligations.

2. To provide any comments/recommendations arising from this report.

1. CONTEXT

Understanding Developer Contributions: types and principles of spending

Overview

1.1 The Council's recently published Lambeth Growth Plan helps to build investor confidence and highlights the borough's strategic location, excellent transport connectivity - including direct links nationally across the country via Vauxhall and Waterloo, one of the UK's busiest stations - and its continued appeal to residents, employers and visitors.

1.2 Growth and investment in the borough bring developer contributions through the Planning process – mechanisms by which local authorities ensure that new development helps deliver the infrastructure and services the community needs.

1.3 These developer contributions fall into two main categories, and differ in how they operate, what they fund, and the certainty they provide to developers:

Community Infrastructure Levy (CIL) is a non-negotiable charge on new development, set through a published charging schedule. CIL is applied in line with national legislation and the local charging schedule, with charges based on the size and type of project. This provides a transparent and consistent system for developers – charges are fixed in advance and applied uniformly.

- CIL is used to support infrastructure projects which benefit the whole borough.
- Neighbourhood CIL (NCIL), a subset of CIL, funds local projects and gives communities a direct role in shaping investment.

Section 106 (s106) planning obligations are negotiated legal agreements on a case-by-case basis tied to specific planning permissions.

- Whilst some formula-based s106 contributions are secured, s106 focuses on making a particular development acceptable by addressing the specific impacts it has on local services and infrastructure.

1.4 CIL and s106 developer contributions help manage growth and deliver Lambeth's Borough Plan, Growth Plan, and Local Plan priorities. Recent years have seen developer contributions deliver significant benefits across Lambeth. For example:

- CIL funding has supported the Highways Improvement Programme, resurfacing hundreds of roads and footways and installing Sustainable Drainage Systems to improve climate resilience.
- The South Bank Spine Route project is transforming public spaces to prioritise walking and cycling and enhance accessibility for 30 million annual visitors.
- S106 and NCIL funding has enabled strong employment outcomes, with 1,402 residents supported into jobs, training or apprenticeships in 2024/25.
- The Community Connections Fund has backed over 40 diverse local projects with wide ranging impacts relating to wellbeing, safety, culture, and economic and social inclusion, addressing borough plan priorities through improved community infrastructure.
- Affordable housing delivery includes 236 homes secured through Oval Village and 46 new social-rented homes at Fenwick South—the first new Council homes in a generation.

1.5 Clear reporting on these mechanisms is essential to ensure transparency and accountability in how growth benefits are shared across the borough. Each year the Council is required to publish an

Infrastructure Funding Statement (IFS) which provides this information. The latest Lambeth IFS for the year 2023/24 can be found in the background documents section at the end of this report. The IFS for 2024/25 will be published by end of 2025/26.

1.6 The importance of infrastructure planning is critical. Receipts from developer contributions under CIL part fund some of the infrastructure that the Council identifies to support growth or, in the case of s106, mitigate for the impact of a development. The governance and prioritisation of spend needs to reflect growth identified through the Local Plan as well as infrastructure identified in the Infrastructure Delivery Plan (IDP).

1.7 Negotiations for obligations secured through s106 sits within Planning who work with Legal to draw up the agreements, in collaboration with other parts of the Council.

1.8 The Council's monitoring, collecting, enforcing CIL and s106 receipts and non-financial s106 obligations, sits with two specialist teams:

- The CIL/s106 team is responsible for calculating, monitoring, and enforcing financial obligations secured and providing compliance for allocations.
- The Development Infrastructure team oversees non-financial obligations, ensuring that obligations such as on-site affordable housing, highway works, or sustainable transport measures are delivered in line with s106 planning obligations.

1.9 The spending and delivery of infrastructure projects sits across a number of different services areas across the Council.

1.10 At the present time, following a Cabinet decision making process in July 2025, the Council announced a pause and review of its capital investment programme. This decision enabled the Council to reassess its capital commitments in light of financial pressures and anticipated changes to national funding formulas. The capital investment programme review is ongoing. The governance arrangements for the prioritisation of spend in line with the Local and Borough Plans and IDP is being reviewed as part of this process.

Principles for spending CIL and s106 monies

1.11 When spending receipts from Developer contributions, in line with legislation, it is important to ensure that funds are used in line with the purpose for which they were secured.

- s106 contributions must be spent in accordance with the terms of the s106 agreement – a legally binding document. Each obligation carries a descriptive covenant, typically tied to specific developments and/or within the locality and are intended to mitigate the direct impacts of that development. This means contributions are frequently tied to commitments and funding to enhance or provide new local infrastructure on site or in the near vicinity of the development to which the s106 relates.

- CIL offers more flexibility and can be allocated borough-wide (Lambeth treats the whole borough as 'local'). Spending must still align with the overarching purpose of supporting infrastructure that enables and sustains growth, outlined in the Local Plan and supporting Infrastructure Delivery Plan (IDP). This includes both new infrastructure and improvements to existing facilities, such as schools, parks, health centres, and transport networks. CIL cannot be used to fund Affordable Housing.

1.12 Local authorities are expected to make spending decisions that reflect both local and borough-wide infrastructure needs priorities. The Council is required to engage with communities to determine how NCIL should be spent.

2. DELIVERING THE COUNCIL'S AMBITIONS – ALLOCATIONS, SPEND AND CASE STUDIES

How allocations are made

2.1 It is important to clarify that the team does not make CIL and s106 funding decisions. The team's function is limited to ensuring compliance with CIL and s106 regulations and covenants. This includes identifying appropriate CIL or s106 obligations for projects already approved through ODDR or CMDDRs, or for projects seeking ODDR or CMDDR approval. Some of the major decision reports relating to CIL and s106 expenditure relating to other service areas are referenced in the sections below.

2.2 The term allocation is used in this report to refer to the process by which teams within the Council progress formally approved reports or seek drawdowns against previously agreed decisions via these reports.

2.3 All CIL/s106 spend and related decision reports need to refer to the Local Plan, IDP and the Capital Programme to receive Developer Contributions. In summary, the team facilitates the lawful and transparent application of funds but does not make decisions on project allocation.

Delivering benefits to Lambeth through CIL and s106

2.5 In addition to delivery of locally specific s106 covenants, some of the largest allocations are to borough-wide programmes of activity, which also have positive, localised impacts. A range of examples highlighting how CIL and s106 is utilised are provided below.

2.6 **Highways Improvement Programme (HIP):** CIL has provided £11.24m of funding for the Council's borough-wide HIP over the past 5 years. Lambeth maintains 354 km of roads and 710 km of footways, plus 29 km of cycleways. The HIP delivers resurfacing of roads and footways across the borough to tackle potholes, trip hazards, and improve accessibility. The programme has targeted the most deteriorated sections using a risk-based approach and is agreed annually by the Council.

2.7 With CIL funding for the HIP, hundreds of roads have been resurfaced across all wards, including major routes like Waterloo Road, Brixton Station Road, Tulse Hill, and Clapham Manor Street.

2.8 The HIP also plays a role in the delivery of the council's Climate Action Plan. For example, the HIP has delivered the installation of Sustainable urban Drainage Systems (SuDS) in locations including Norwood Park, St Matthew's Estate and Clarmont Estate.

2.9 Safety is another key component of the HIP. For example, £2m has been spend on Hostile Vehicle Mitigation (HVM) works across 10 sites Queen's Walk – the longest piece of HVM in the country 2020-2022.

2.10 CIL has also played is scoping, designing and delivering major public realm improvements such as the 'South Bank Spine Route' project – an £8 million regeneration scheme designed to transform the network of streets between Jubilee Gardens and Bernie Spain Gardens, including Upper Ground and Belvedere Road.

2.11 The project aims to prioritise walking, wheeling, and cycling, improve public spaces, and make the area more climate resilient through measures such as new green spaces, sustainable drainage systems, and traffic restrictions. These improvements are helping to create more accessible, inclusive, and safe public spaces for residents, businesses, and the 30 million annual visitors to the South Bank.

2.12 Following completion of Phase 1 in 2022 and trial interventions in 2023, Phase 2 construction began in September 2024. This phase focuses on Concert Hall Approach, Sutton Walk, and Belvedere Road. Key works include the pedestrianisation of Concert Hall Approach (with delivery access maintained); new seating and planting, plus decluttering and re-paving for accessibility; zebra crossing on Belvedere Road to improve pedestrian safety.

2.13 **Skills and Employment.** s106 and NCIL has been a major funding source helping the Council and its partners to deliver positive skills and employment outcomes for local people. For example, Lambeth's Infrastructure Funding Statement for 23/24 highlighted £707,564 had been receipted from employment and skills s106 covenants in that financial year. In the subsequent financial year 24/25, with s106 skills and employment funding and other sources of external funding secured by Lambeth (e.g. GLA grants), the Council supported:

- 1,402 residents to achieve education, training and employment outcomes following support provided by the council.
- Of which, 903 secured a job, 437 progressed into further education and training, and 62 secured apprenticeships.

2.14 The Council's skills and employment programmes have performed exceptionally well in supporting residents from Black and Multi-Ethnic communities. Over 77% of Lambeth residents supported have been from Black, Asian and Multi-Ethnic Communities, and 58.97% are Black/Black British.

2.15 The Council's skills and employment projects support residents into opportunities related to the constructive of new developments in the borough, alongside other programmes which help people to secure roles in other parts of the economy, including the growth sectors which the Council has prioritised for focus in the Lambeth Growth Plan. All skills and employment projects are focussed on residents who are more likely to face barriers to skills and employment.

2.16 The Council publishes a Cabinet Member Decision Report (CMDDR) annually which sets out the detail of s106 employment and skills expenditure and delivery. Additionally, during the Covid-19 pandemic as unemployment more than doubled in a short space of time, on 23 November 2020 the council made an NCIL allocation of £5m towards skills and employment programmes over multiple years which have supported over 3,000 residents to enter into employment, education and training.

2.17 **Community Connections Fund:** In March 2022 the Council approved the use of £4m of NCIL for establishing the Community Connections Fund to support local groups to deliver projects and services in the Neighbourhood Areas of North Lambeth, Waterloo, Brixton, and Stockwell over the next three years. The Fund encourages and supports community-led initiatives that address key priorities identified by local people and responds to the ambitions set within the Lambeth 2030: Our Future, Our Lambeth Borough Plan. Successful proposals support the ambitions of the Borough Plan, as well as showing support within the community, addressing an existing local need, benefit diverse communities and representing value for money.

2.18 The Community Connections Fund is delivered in phases, with successful groups awarded funding to deliver their local projects through a grant agreement. So far there have been two funding rounds which have distributed just under £2.5 million to over 40 local organisations.

2.19 Through Round 1 13 grants were awarded to community organisations, totalling £811,174. A launch event was held to introduce organisations and their projects, with subsequent networking events held to hear project updates and promote networking and connections between funded organisations. Funded projects took place across Brixton (3 projects), North Lambeth (3 projects), Stockwell (4 projects) and Waterloo (3 projects). Grant values were between £10,000 and £200,000.

2.20 Round 2 is providing funding to 31 organisations working across Lambeth, with grants totalling ££1,504,503. Funded projects are taking place in every ward across Brixton (11), North Lambeth (8), Stockwell (7) and Waterloo (5). The second round introduced smaller development grants of up to £10,000, which has increased the number of projects funded and enabled engagement with less established organisations.

2.21 Some of the specific projects supported through rounds 1 and 2 of the Community Connections Fund are highlighted below:

- Black Prince Trust (Kennington) - Total refit of Commercial Kitchen space. Renovation of front-of-house café. 12 months' rent to support the introduction of a new community-focused charity tenant. Free meal service and supported catering learning opportunities provided by charity tenant. (Round 1)
- Oasis Adventure Playground and Triangle Adventure Playground (North Lambeth): two playground improvement projects providing a higher safety fence; sensory elements created by young people; lunchtime adventure play sessions. (Round 1)
- Garden Museum (Waterloo & Southbank) – Creation and maintenance of a medicinal healing garden in at Old Paradise Gardens which gives residents the opportunity to help build the garden, learn new skills, and connect communities. (Round 1)
- Papa's Park (Brixton North) funding for the park community building - a resource housing a hall, café, and toilets to provide an amenity for the local community. The project creates a safe and welcoming space for people from diverse backgrounds to mix and play together, fostering new relationships and strengthening community cohesion. (Round 1)
- Various (Stockwell) – across 4 funded projects, two disused spaces were transformed into free podcast and live-streaming studios for local young people, 19 events at Myatt's Field Park were supported with over 2,200 attendees, and Stockwell Partnership delivered community sessions for 1,285 participants. Through two Community Living Rooms, 847 people accessed health and wellbeing services, and free energy and water-saving devices were distributed at pop-up climate events. (Round 1)
- Empathy Museum (Brixton Windrush) - Windrush Untold Stories is a Brixton exhibition sharing Windrush Generation stories through portraits, audio, and youth photography. The exhibition activated Windrush Square over the Summer, and its success has led to it being shown in other locations including the Home Office. (Round 2)
- Van Gogh House (Stockwell East) - Van Gogh House has received development funding to deliver the Festival of Encounters in September 2025 - a free, hyperlocal festival of 40 talks and public events that took place across 32 venues in northern Brixton. Over two thousand people attended the festival across 20 venues, and over two hundred joined online, not including those who encountered public performances at street level. (Round 2)
- Breathe Arts Health Research (Stockwell) has been funded to deliver Breathe Melodies a 10-week singing programme for mothers with babies aged 0-9 months to provide a safe space for mother and babies and support mental health. Sessions are delivered in Liz Atkinson Children's centre and Jubilee Children's Centre and they specifically target mothers suffering with low mood and depression as identified through their referral form. They aim to engage 120 mothers in Brixton and Stockwell.
- Philharmonia (Waterloo & South Bank) - Hear and Now is an established intergenerational community programme. It brings together carers, people living with dementia and memory loss, and young musicians from grassroots community organisations. To support this, the Philharmonia will work with Arts for Dementia, who will act as referral delivery partner. (Round 2)
- No Going Back (North Lambeth) - They work with individuals who have left the prison system to gain employability skills and re-enter the workforce, they provide this through workshops and wrap around support which also supports their families. They host job fairs and take referrals from statutory bodies and since conception 60% of those referrals have engaged with the programme. (Round 2)
- 13 organisations across the four neighbourhoods were awarded Development Grants to run pilot projects, improve internal processes, increase their team's capacity or explore

partnership opportunities. Two of these organisations have used this funding in leveraging further funding to expand their work.

Affordable Housing Delivery

2.22 S106 is also the legal mechanism through which affordable housing is secured in the borough.

2.23 Affordable housing is negotiated at the planning application stage by the Planning service, with on-site provision prioritised. For example, a significant volume of affordable housing has been secured and delivered through the Oval Village scheme:

2.24 The Oval Village scheme is a major mixed-use redevelopment in Lambeth, delivering 738 new homes across multiple phases. Of these, 236 homes (approximately 35% by habitable room) are secured as affordable housing through planning obligations. The tenure mix includes social rent and shared ownership, with 147 social-rented units and 89 shared ownership units on the Oval Gas Works site, and a further 115 social-rented and 58 shared ownership units on the Kennington Lane site.

2.25 Delivery is phased, with completions of several buildings achieved between late 2022 and 2025 with full build-out expected by 2026. This development represents one of Lambeth's largest regeneration projects, contributing significantly to the borough's affordable housing pipeline and supporting strategic objectives for mixed-tenure communities.

2.26 Where on-site delivery is not feasible, or off-site options better meet local needs, alternatives such as off-site units or financial contributions may be considered. This is particularly for smaller schemes where limited units or shared access may deter Registered Providers (RPs).

2.27 RPs are organizations in England who are registered to provide social housing. Historically, only non-profit making organizations could be registered as providers of social housing. The Housing and Regeneration Act 2008 (HRA 2008) allowed profit making organizations to become providers to encourage competition and increase the supply of affordable housing. The Regulator of Social Housing manages the statutory register of social housing providers (the register) which lists private (non-profit and profit making) providers and local authority providers. RPs are required to let housing at rent compliant levels and to ensure that it is let to eligible tenants.

2.28 Lambeth applies the London Plan's two-route threshold approach:

- Fast Track Route: Applies to schemes with at least 35% affordable housing (or 50% on public/industrial land), policy-compliant tenure, and no public subsidy. An early viability review is triggered if substantial implementation doesn't occur within 2 years.

- Viability Tested Route: Required for schemes below the threshold or those proposing off-site provision/payment in lieu (for developments over 25 units). These must submit a viability assessment and are subject to both early and late-stage reviews

2.29 At application stage, viability assessments are scrutinised by specialist consultants appointed by the Council. Where required, early and late-stage reviews are secured through s106 agreements and monitored by the Development Infrastructure team. These reviews follow the same scrutiny process as the initial assessment. If scheme viability improves, developers must deliver additional on-site affordable housing or make a payment in lieu. A 'cascading' mechanism may be included in s106 agreements to secure payments in lieu where a developer is unable to secure an RP. This is subject to the developer demonstrating to the council that reasonable efforts have been made.

2.30 Affordable Housing Payments in lieu funds can be used by the Council to deliver affordable housing including through the New Homes Programme. An example of recent project is the **Fenwick South Redevelopment** allocation:

2.31 Using £720k from an s106 Affordable Housing Payment in Lieu, Lambeth partnered with Transport for London to deliver 46 new social-rented homes as part of the Sainsbury's Nine Elms redevelopment. These homes represent the first new Council housing in a generation and play a key role in regenerating the Fenwick Estate, enabling resident decanting and supporting phased delivery of additional homes.

Locally specific s106 benefits – other examples

2.32 stated in the report, s106 agreements include site-specific mitigations. Some examples of very localised benefits secured in close proximity to development are provided below:

London Eye South Bank Clean Team

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Funding Sources: London Eye Annual s106 contribution, South Bank BID, South Bank businesses and other organisations

Amount: £145k London Eye s106 contribution in 2025/26. Total annual cost / value of service is £337k met through match funders.

Delivery Partners: South Bank Employers Group (SBEG) and South Bank BID

What was delivered: The South Bank Clean team service provision operates as a partnership between SBEG, private landowners, South Bank BID, Lambeth Council and Southwark Council and delivers a comprehensive service across private and public estates throughout the South Bank neighbourhood, one of the busiest in London. The team enhances and maintains the quality of the area, in keeping with the reputation and importance of the South Bank as a world-class place for everyone. The team works seven days a week and 364 days a year clearing litter and leaves, removing graffiti within 24 hours (four hours if offensive), jet washing pavements, reporting issues of concern including suspicious parcels, and cleaning street furniture.

Impact: In 2024/25, the team collected 23,630 litter bags, removed 4,500 square metres of graffiti, jet washed 50,000 square metres of surface area, and completed 1,207 flyposting removal jobs.

Agnes Riley Gardens

Funding source: s106 Parks and Open Spaces

Amount: £223k

What was delivered: Utilising s106 funding commitment to Agnes Riley Gardens arising from a nearby development, improvements were made to the fabric of Agnes Riley Gardens, including access points, paths, and play space, whilst ensuring the depot building has a functional use.

Impact: a safer, enjoyable and better used local park.

Developer contributions supporting local economic growth

2.33 In addition to benefits for residents, developer contributions have also been used to support local businesses and support business growth. Two case studies below demonstrate how funding has been allocated and delivered using developer contributions:

High Streets Recovery Programme - Goding Street

Funding source: Neighbourhood CIL

Amount: Over £320,000

Delivery partners: Lambeth Council & Vauxhall One Business Improvement District (BID)

What was delivered: Public realm improvements in the southern area of Goding Street; Installation of planters and greening; Modular seating; Activation of vacant archway frontages with local artwork

Impact: An improved business environment for local businesses seeking to recover trade following the COVID - 19 lockdown

Affordable Workspace

Funding Source: CIL and s106 affordable workspace contributions

Amount: £1.9m

Delivery partner: Meanwhile Space CIC

What was delivered: LJ Works is an affordable workspace hub in Loughborough Junction that opened in late 2022. The Council collaborated with residents to form a steering group to develop plans for the site. LJ Works provides 685m^2 of affordable business workspace, including workshops, studios and a co-working space. The site also provides a long-term home for Loughborough Farm, which manages the grounds at the front of the site.

Impact: LJ Works and other several other affordable workspace schemes supported through Lambeth's 'Future Workspace Fund' which utilises s106 conditions and contributions have helped to deliver:

- 7,690.6m^2 of affordable workspace and cultural facilities in the borough;
- Supporting 533 businesses;
- 1,737 jobs in growth sectors.

Allocations this year

2.34 This year, between April and December 2025/26, allocations for a total of £3,392,610 have been received. The types of requests and areas received for allocated funds for s106 is shown in the Table 1 below:

Table 1 : s106 allocated 2025/26 year to date

Ward	**Project**	**Amount allocated £000**
Brixton Hill, Herne Hill	Brockwell Hall inclusive access provision	77.4
Streatham Hill East	Affordable Housing – Leigham Court Road	305.3
Herne Hill	Milkwood Community Park Playground	9.2
Borough-wide	Carbon Offset – Carbon Savings to Lambeth Housing Stock	66.6
Gipsy Hill, Knights Hill	Norwood Park Play Area - Play equipment investment	23.8
Vauxhall	Vauxhall Park Under 5s Play Area	64.4
Borough-wide	Travel Plan Monitoring	25.2
Herne Hill Loughborough Junction	Refurbishment of Flaxman Squash Courts	35.0
Borough-wide	Future Workspace Fund - Round Three Allocation	1,559.2
Brixton Hill, Herne Hill	Brockwell Park Maintenance	45.2
Kennington, Myatts Field, Stockwell West & Larkhall	Durning, Minet and Brocket House Refurbishments	99.8
Herne Hill	Ruskin Park Coach House	66.8
Bishops	2025-26 London Eye South Bank Employers Group Payment	763.3
Streatham Hill, Thornton	Tree Planting - Thornton Road	13.6
Oval, Kennington	Kennington Oval Reimagined	99.8
West Dulwich	Robson Entrance West Norwood Cemetery	71.1
Clapham East	Bryan Kneale sculpture restoration	1.0
Vauxhall	Vauxhall Park Building Works Cost	55.0
Stockwell West & Larkhall	Tree planting Stockwell West and Larkhall	10.9

3 DEVELOPER CONTRIBUTIONS: FINANCIAL POSITION

3.1 Table 2 below shows the unspent monies held for CIL and s106 as at Quarter 3, 2025/26.

Table 2: current CIL and s106 monies held & allocated

CIL funds held	Of which allocated
£m	£m
24.7	6.4

s106 funds held	Of which allocated
£m	£m
57.3	35.8

3.2 These funds are key to the council's ability to continuing to deliver the types of benefits highlighted in this report.

3.3 Of the £57.3m in s106 monies held shown in Table 2 above, as at Quarter 3, 2025/26, the amount received is £5.3m. This includes an amount of £2.1m received at the end of September 2025 in relation to an enforcement case, regarding an Affordable Housing Payment in lieu debt.

3.4 Combined strategic CIL and NCIL receipts in the current financial year (as at Quarter 3 2025/26) are £2.3m. This is below what would typically be expected by this point in the year. The current trend is comparable to 2021/22, when the final outturn was approximately £3.7m.

3.5 The decrease in CIL receipts reflects wider uncertainty within the development industry about the UK's economic outlook and project viability. Housebuilding in London has faced significant challenges in recent years due to factors such as the lasting effects of the Covid-19 pandemic, high interest rates, rising construction costs, regulatory pressures, and broader economic conditions. As a result, housing starts in many parts of London were very low during the first quarter of this year.

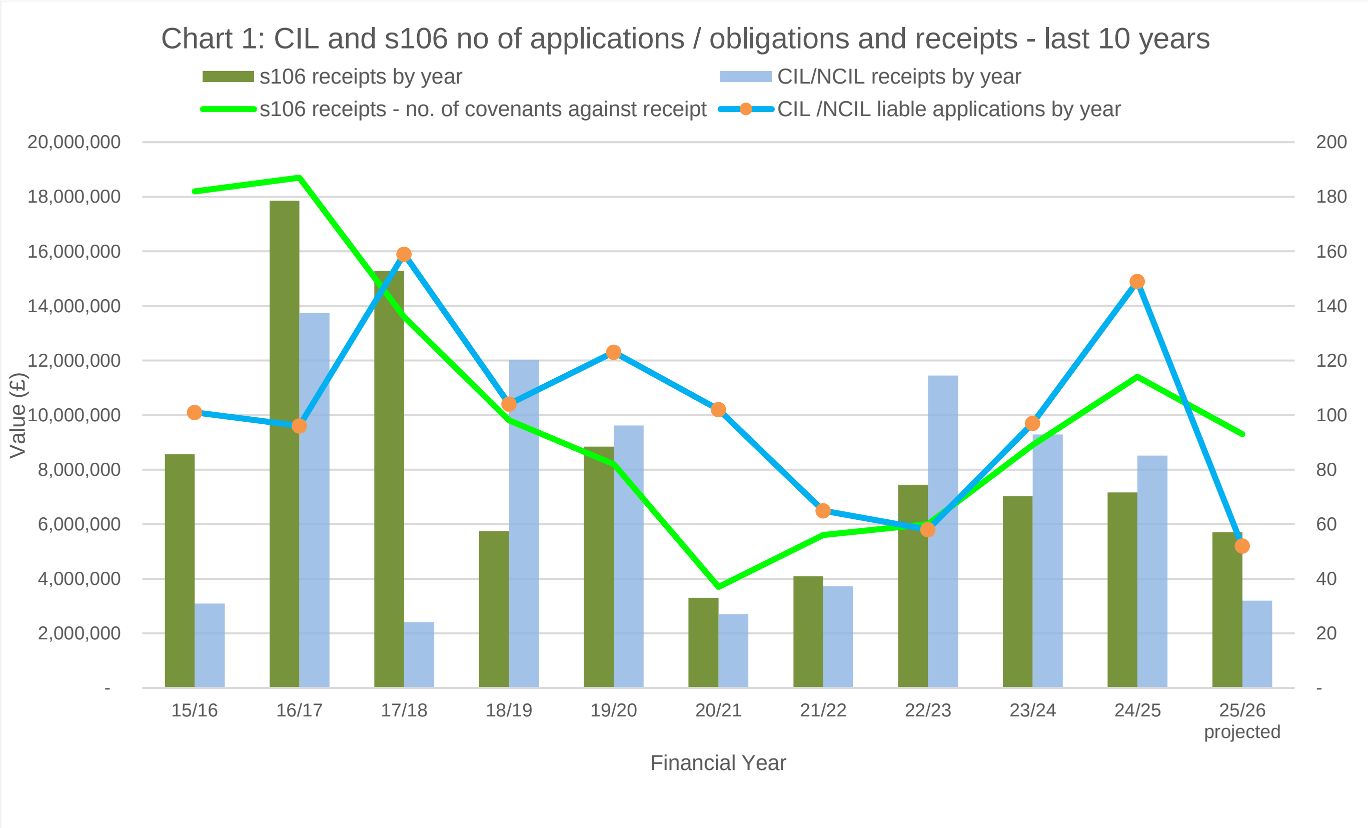
3.6 According to a recent Molior report, only 5,933 new home sales were recorded in London during the first nine months of 2025, leading to just 3,248 housing starts in the same period. Low sales activity has consequently contributed to fewer new construction starts.

3.7 Currently, the GLA is reviewing affordable housing policy with a view to reducing the requirement to 20%; easing of design requirements; and temporary relief from payment of CIL up to 50% of a council's charge. The government will be consulting on these proposals for six weeks from November.

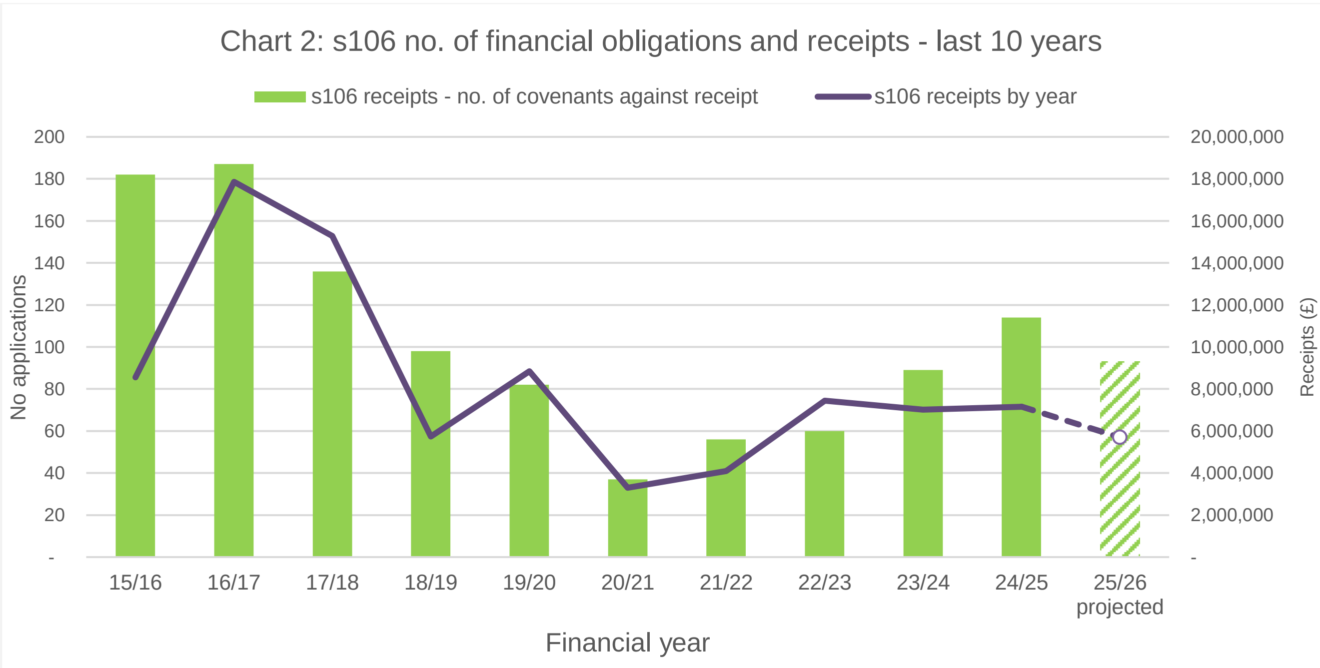
3.8 These proposed adjustments are intended to stimulate development and encourage starts on site in what is a difficult economic climate. They also illustrate the policy and regulatory framework within which councils operate when seeking to facilitate and manage development activity is often in flux.

3.9 Given the challenging market conditions, a substantial number of planning permissions that are yet to be built out (various source findings show that between 1.1 m to 1.2 m permissions nationally since 2015 have not started as of 2024) further short-term policy relaxation may have limited impact to accelerate genuine delivery. Where development is proceeding, much of the new supply in London remains concentrated in higher-value schemes which may not address the full range of local housing needs. Consequently, such changes to policy have the potential to materially impact local authority funding streams and impede balanced and inclusive housing delivery outcomes across London.

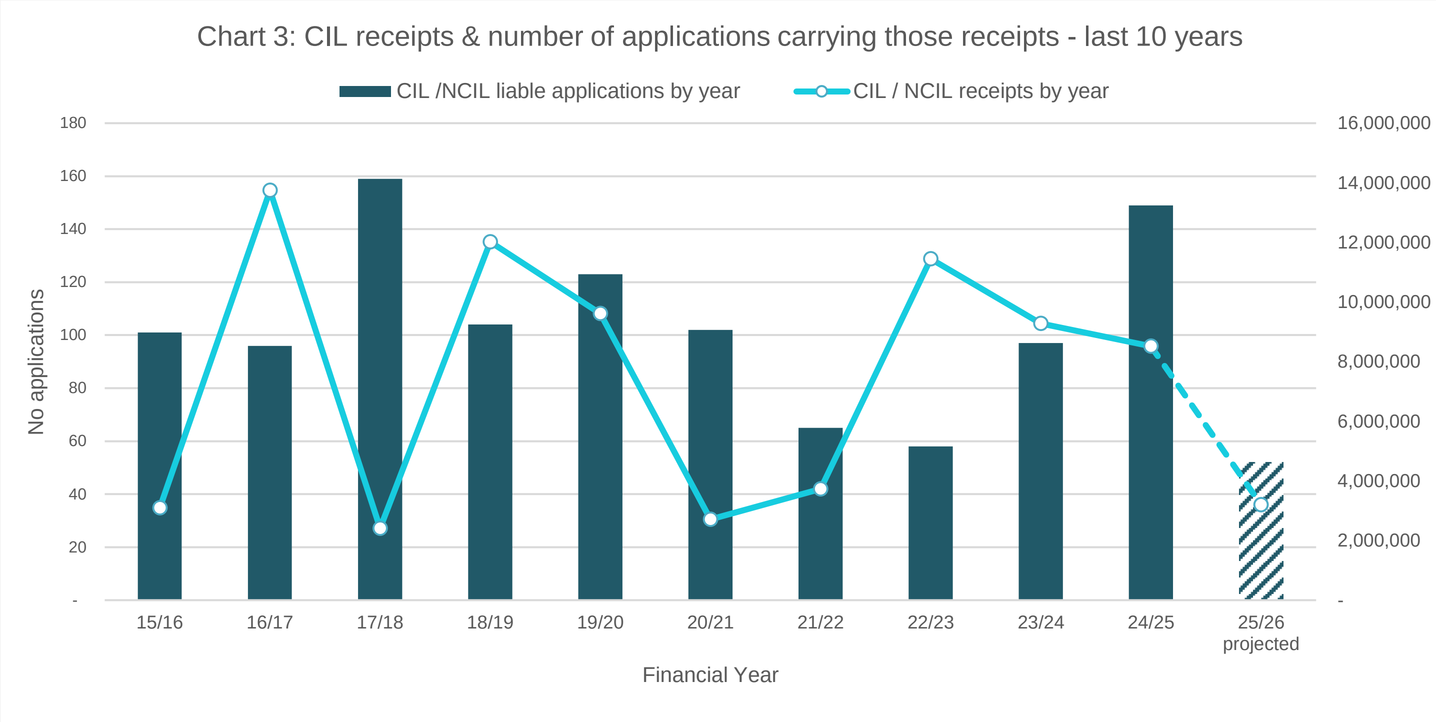
3.10 Chart 1 below provides an illustration of CIL and s106 receipts over the last 10 years. The number of obligations relate to financial obligations by application only and excludes any non-financial obligations secured. This illustrates how, immediately after the decision to exit the EU, these contributions went into a significant decline. A further (significant) drop is seen again at the point of the COVID pandemic. The peak seen in 2023/24 for CIL receipts would suggest the peak relates to those sites that had been scheduled to commence at the point of the pandemic starting, after a delay (to both commencement and payment of CIL).



3.11 Chart 2 presents s106 receipts and number of financial obligations separately.



3.12 Chart 3, below, presents the position of CIL receipts and number of applications that carried those CIL receipts by financial year.



3.13 Tables 3 and 4 present the amount of s106 and CIL contributions received in the last 5 years by area.

Table 3: s106 receipts last 5 years by Neighbourhood Area

	Year received							
Neighbourhood Area	**20/21**	**21/22**	**22/23**	**23/24**	**24/25**	**25/26 to Q3**	**Total by Area**	**Total by area - percent**
	£m	**£m**	**£m**	**£m**	**£m**	**£m**	**£m**	
Brixton	0.16	0.50	0.20	0.20	1.03	0.62	2.71	8%
Clapham	0.14	1.01	0.23	0.58	0.27	0.13	2.36	7%
N Lambeth	1.82	0.62	1.47	3.24	1.73	2.69	11.57	34%
Norwood	0.11	0.24	0.06	0.25	0.25	0.20	1.11	3%
Stockwell	0.11	0.01	0.06	0.21	0.05	0.18	0.62	2%
Streatham	0	0.07	0.01	0.29	0.14	0.23	0.74	2%
Waterloo	0.95	1.63	5.42	2.24	3.68	1.20	15.12	44%
Total	**3.29**	**4.08**	**7.45**	**7.01**	**7.15**	**5.25**	**34.23**	

Table 4: CIL receipts last 5 years by Neighbourhood Area

	Year received							
Neighbourhood Area	**20/21**	**21/22**	**22/23**	**23/24**	**24/25**	**25/26 to Q3**	**Total by Area**	**Total by area – percent (%)**
	£m	**£m**	**£m**	**£m**	**£m**	**£m**	**£m**	
Brixton	0.06	0.5	1.43	0.2	0.53	0.36	3.08	8
Clapham	0.33	0.26	3.42	2.86	2.08	0.67	9.62	25
N Lambeth	1.72	2.55	3.38	4.36	4.57	0.03	16.61	44
Norwood	0.34	0.07	0.06	0.23	0.34	0.63	1.67	4
Stockwell	0.14	0.17	0.11	0.01	0.04	0.01	0.48	2
Streatham	0.09	0.06	0.18	0.21	0.5	0.34	1.38	4
Waterloo	0.02	0.12	2.85	1.41	0.45	0.19	5.04	13
Total	**2.7**	**3.73**	**11.43**	**9.28**	**8.51**	**2.23**	**37.88**	

3.14 CIL and s106 income can be volatile, making forecasting inherently challenging. Lambeth's current forecast was developed in 2021 and incorporates detailed analysis of noncommencements, as well as the application of various reliefs, all of which are factored into the figures.

3.15 Since 2021, the team have continued to refine the forecasting approach, drawing on data from previous financial years, using averages, engaging more actively with developers and taking into account key economic events. The 2021 forecast also brought in a number of new adjustments including:

- a reduction formula based on non-commencement analysis;
- a formula to account for sites where potential relief may be applied;
- identification of sites where relief of contribution (full or partial) is likely to apply; and
- adjustments for developments that have technically commenced in planning terms, but not in CIL or Section 106 terms, which can extend the timeline for income.

3.16 It is widely accepted that forecasting beyond a one-year horizon is naturally difficult, particularly in the context of infrastructure and development. They are impacted by project variability and sometimes less than reliable data where communication with developers can be limited. Nevertheless, a managed approach to forecasting for future years is undertaken. Additionally, the one-year planning income forecast has been in place for over a decade and has proven to be robust. This model is under constant review and adaptation to enhance projections that are informed by activity trends and receipt patterns, to help continually develop a more dynamic and responsive view of expected income.

3.17 The current forecast as at 31/12/2025 for CIL, NCIL and s106 are shown at tables 5, 6 and 7 below.

Table 5: CIL forecast at Q3: 31/12/2025

Financial year	**24/25**	**25/26**	**26/27**	**27/28**	**28/29**
	£m	**£m**	**£m**	**£m**	**£m**
Actuals to 31/12/2025	n/a	1.9	n/a	n/a	n/a
Forecast	n/a	0.8	6.5	7.5	9.1
Total	**7.1**	**2.7**	**6.5**	**7.5**	**9.1**

Table 6: NCIL forecast at Q3: 31/12/2025

Financial year	**24/25**	**25/26**	**26/27**	**27/28**	**28/29**
	£m	**£m**	**£m**	**£m**	**£m**
Actuals to 31/12/2025	n/a	0.4	n/a	n/a	n/a
Forecast	n/a	0.1	1.7	1.8	2.2
Total	**1.4**	**0.5**	**1.7**	**1.8**	**2.2**

Table 7: s106 forecast at Q3: 31/12/2025

Financial year	**24/25**	**25/26**	**26/27**	**27/28**	**28/29**
	£m	**£m**	**£m**	**£m**	**£m**
Actuals to 31/12/2025	n/a	5.2	n/a	n/a	n/a
Forecast	n/a	0.5	8.5	8.9	6.7
Total	**7.2**	**5.7**	8.**5**	**8.**9	**6.7**

3.18 Historically, the process for spending and drawing down s106 monies has presented challenges. Responsibility for expenditure lies with individual service areas across the Council and full utilisation of available funds depends on those services actively submitting drawdown requests. A recurring issue is the presence of projects with minimal or no expenditure over several years, particularly where projects have become inactive. Whilst delays can often be justified with good reasons, they contribute to a growing balance of allocated but unspent funds, which in turn presents a financial risk and complicates the management of overall s106 commitments.

3.19 Most other London boroughs that have published Infrastructure Funding Statements for 2023/24 show significant unspent s106 balances:

Table 8: London borough unspent s106 in 23/24

London Borough	**Unspent s106 2023/24**
	£m
Westminster	169.2
Wandsworth	134.1
Newham	72
Lambeth	55.5
Southwark	49.2
Hammersmith & Fulham	47.5
Tower Hamlets	45.9
Kensington & Chelsea	45.5
Brent	21.3
Islington	7.1

3.20 Unspent s106 balances often result from delays between receipt and expenditure. In some cases, funds are allocated to large-scale projects that require additional fundraising or are dependent on external factors before implementation can begin.

3.21 For example, the Transforming Vauxhall Gyratory project has a £14.1m funding allocation. This is made up of £11.5m in s106 covenants ringfenced from the Vauxhall Nine Elms Battersea Development Infrastructure Funding Study (DIFS), £2.6m in other s106 covenants and £50,383 from Strategic CIL. The Council’s funding is match by TfL funding contributions, yet a significant funding gap remains for this TfL led partnership scheme, which means the allocation of funds remains unspent until the funding gap can be closed.

3.22 The remodelling of the gyratory represents a major opportunity to create a new town centre and is critical for the borough, unlocking approved development schemes and delivering benefits across transport, climate, housing, employment, business rates, and future CIL/s106 funding.



3.23 To help realise the Vauxhall Gyratory project, ongoing negotiations with Transport for London (TfL), other landowners, and the Government are underway to address this gap and deliver the scheme, unlocking the wider development, public realm and public transport benefits for the station area.

3.24 Additionally, some s106 contributions are passported to external bodies such as TfL or the NHS, and Lambeth does not have the authority to spend these funds directly.

3.25 The CIL/s106 team reviews drawdown requests for compliance, where this has not already been confirmed prior to project initiation. They also engage with service areas on a quarterly basis to encourage timely submission of drawdown requests. However, there is an opportunity for all parties to improve in year drawdown processes. This would support more accurate and timely financial tracking and reduce the risk of year-end decisions to use temporary borrowing instead of allocated funds.

3.26 As part of the ongoing budget process, the Council's Capital Strategy will be substantially updated to ensure stronger alignment between strategic priorities and available funding sources. Within this, clear links will be maintained between the Capital Strategy and the use of CIL, NCIL and s106 monies; as well as strengthen governance arrangements for managing capital schemes through their project lifecycle and clear prioritisation of funding sources including CIL/s106.

3.27 These mechanisms remain an important source of funding for the Council's capital programme, supporting the delivery of infrastructure and investment priorities across the borough.

3.28 In addition, there is recognition that CIL/NCIL/s106 funding may, in certain circumstances, contribute towards eligible revenue costs associated with growth and development where those receipts are either received as revenue and/or are, under the regulations, able to be used for both revenue and capital funding. Further work is to be undertaken to identify potential areas where costs, currently met from the Council's general fund budgets, could appropriately be supported through CIL/NCIL/s106 and ease the burden on the public purse. As part of the council's budget planning process for 26/27 and the medium term, it is undertaking a review to consider if existing revenue costs can be financed from CIL, NCIL or s106 within the appropriate regulations and legal agreements.

3.29 Appendix I provides a flowchart illustrating the CIL and s106 allocation and drawdown process. It is important to note that the team advises only on scheme compliance. Decisions regarding which projects should ultimately be funded are taken through standard member decision processes.

4 CIL/S106 AND DEVELOPMENT INFRASTRUCTURE TEAMS

Purpose and Remit of teams

4.1 The CIL/s106 and Development Infrastructure teams play a vital statutory role in managing developer contributions. They are responsible for developing policy proposals to members and implementing policy passed by members, making sure that developers contribute fairly to the borough when they build new homes, offices, or other developments, ensuring CIL contributions are paid and deliver what has been agreed in each s106 planning obligation.

4.2 At any time, the teams may be monitoring over 500 live permissions, as well as undertaking enforcement action on a significant number of problem sites. This ensures developments contribute appropriately to infrastructure and community needs.

4.3 Whilst the teams are not directly involved in decision making around what area or project should be taken forward for delivery using CIL or s106 funding (nor are they responsible for the spending of those allocations) their work is a key factor in ensuring that growth in Lambeth benefits everyone, by funding the infrastructure and services that communities need.

4.4 The team is funded directly from monitoring and administration fees - paid specifically for the purpose of monitoring and enforcing developer contributions.

4.5 Their work includes:

- Monitoring, collecting and managing developer payments through CIL and s106, including calculating CIL liabilities based on development size and type.
- Tracking development sites for commencement and trigger points to ensure timely financial and non-financial compliance, undertaking site visits and enforcement where necessary.
- Overseeing non-financial obligations by assessing developer submissions, coordinating with relevant teams (e.g. Development Management, Employment & Skills, Highways) to ensure obligations are discharged and recorded.
- Engaging proactively with developers to promote understanding and compliance with s106 requirements.
- Working collaboratively across Council Directorates to ensure spending proposals and project allocations meet s106 covenant and regulatory requirements.
- Supporting services with evidence for drawdowns and review allocations to identify where funds may need reallocation due to project changes or delays.
- Coordinating with services to monitor delivery, track available obligations, and share regular updates on spendable funds.
- Publishing annual regulatory reports including the Infrastructure Funding Statement (IFS) providing transparency on income and expenditure.

- Undertaking quarterly income forecasting and provide regular updates and briefings on CIL and s106 receipts.
- Maintaining accurate records within the Council's Exacom system.
- Collaborating with Highways, Housing, Legal and other teams to ensure s106 drafting supports effective monitoring, enforcement and infrastructure delivery.
- Inputting into planning application negotiations and draft legal agreements to ensure obligations are monitorable, enforceable and aligned with Council priorities.

4.6 The team also works closely with Planning and Legal services to track relevant changes to regulations and ensure compliance in relation to CIL and s106 (see para. 4.7 – 4.17 below)

Improvement Programme

4.7 Historically, the CIL/s106 team took a largely passive and reactive approach with little monitoring of non-financial s106 obligations. This presented a risk to the Council's ability to effectively monitor delivery of Affordable Housing as well as other contributions. Following a review of those practices and mapping out the processes, an improvement programme was developed which included a more proactive, engaged way of working.

4.8 As a result of this wide-ranging improvement plan a schedule was drawn up identifying and drawing up over 100 (one hundred) areas to apply new working methodologies.

4.9 The team has played a vital role in identifying and addressing issues arising from the drafting of s106 agreements and associated documents, such as policies. These challenges have had broader implications across the Council, affecting related functions and service delivery in other areas. In response, the team has contributed to enhancements in both processes and coordination across departments. This includes collaborative work across Directorates work to strengthen policies and procedures. For example, ensuring that the allocation of different affordable housing (AH) tenures align with the Council's priorities.

4.10 Another example is the gap identified between Nomination Agreements (NAs) secured through s106 planning obligations and the data held by Housing. Through sustained engagement - the team has worked with Housing teams to address this, establishing clearer links and processes that ensure NAs secured via planning are effectively implemented. This workstream has allowed for synergies between s106 template agreements and the Council's nomination agreements for social housing to facilitate more efficient monitoring.

4.11 In addition, the team has collaborated closely with Housing colleagues to revise the Lambeth Tenancy strategy. This has included a stronger emphasis on the prioritisation of affordable (intermediate) housing secured through s106 planning obligations and monitored by the Development Infrastructure team. Monitoring of intermediate tenures has also been strengthened through closer engagement with Registered Providers and partners such as the GLA, helping ensure that eligibility criteria are met and units are marketed via the most appropriate channels.

4.12 These efforts have encouraged more strategic thinking around the range of affordable housing tenures coming forward in the chain-letting process and purchase opportunities, where differing types of accommodation are offered and available. Ultimately, this work supports a more responsive supply of affordable options and helps to ease pressure on overall housing need in the borough. Collectively, these developments have contributed to stronger oversight and better alignment with borough-wide housing priorities.

4.13 The progress outlined above, reflects the team's commitment to strengthening governance, coordination and delivery across housing-related functions to align with borough-wide housing priorities. Some of the other extensive improvements the team have delivered include the items shown below:

- Transitioned from a reactive to a proactive approach in monitoring and collecting financial contributions, including the establishment of the Development Infrastructure team to oversee monitoring of non-financial obligations such as viability reviews.
- Working with Parking on a project to review issues with the parking permit restrictions and recommendations for a revised parking enforcement policy.
- Increased enforcement activities since 2021/22 (see section on Enforcement below).
- Developed enhanced forecasting methodologies to strengthen monitoring and financial planning, including improved oversight of low-activity ('quiet') sites.
- Improved logging of contributions on the Council's monitoring database to ensure all relevant obligations are logged and can be monitored. The new system also facilitates liaising with other teams for example to identify funds available for various projects. The new system also will provide more usable data which in future can be used to evaluate the effectiveness of planning policies or further optimise monitoring and delivery of developers' contributions.
- Introduced new, cross team processes for discharging of non-financial obligations and a database which allows to monitor all types of obligations more efficiently.
- Working with Legal/Land Charges/Planning teams to ensure greater alignment of databases and processes to fulfil the Council's obligations, enable enforcement and monitoring of all s106 planning obligations.
- Establishing strong working practices and engagement with Policy & Placeshaping service to ensure alignment with Local Plan making and Infrastructure Planning.
- Collaborated with Legal and Planning teams to update s106 templates to align with new monitoring processes and mechanisms for infrastructure delivery/spending of funds.
- Introduced new processes to support developers in meeting their obligations, including proactive engagement from the point of s106 agreement signing to ensure a shared understanding of required actions at each trigger point.

4.14 These improvements are significant and wide-ranging. It takes the work into a proactive model ensuring that CIL and s106 income is maximised and non-financial obligations delivered. In doing so this helps ensure that developers meet their obligations to the Council. Whilst there is still a significant workload ahead, there is a clear sense of purpose and commitment to ensure a high-performing, proactive operation.

Enforcement

4.15 Enforcement activity against outstanding monies varies dependent on a number of factors, including the type of contribution, whether the site is still undergoing construction and what may be the most expedient way to recover those sums. For example, in some cases, negotiations with developers may produce better outcomes than hard action, in other cases stop notices or applications to the courts, either Magistrates' or County, are considered more appropriate.

4.16 The CIL/s106 team has a clear framework for management of enforcement cases. This generally consists of a five-stage process prior to taking CIL enforcement action. An enforcement framework has also been developed by the Development Infrastructure team for s106 cases to progress non-complied obligations. For non-financial obligations this includes close working with other teams such as Employment and Skills or Highways, to identify the relevant obligations and engage with the liable party to secure compliance with obligations.

4.17 The Development Infrastructure team is currently undertaking a project to integrate older planning permissions into the Council's new monitoring system, with a particular focus on major developments that include affordable housing and workspace obligations. Of the sites reviewed and where development has commenced, 20 (representing 59%) were found to be non-compliant with one or more planning obligations. In response, the Council has issued a range of formal notices, including Reminder Notices, Non-Performance Notices, and Final Warnings, addressing issues such as:

- Employment and skills plans for both the construction and end-user phases.
- Affordable housing viability reviews, for example, a late-stage review submitted following enforcement action is currently under assessment (by the planning team) and may result in a significant financial contribution. Data provided by Development Infrastructure officers has been instrumental in informing these assessments.
- Affordable housing - marketing and disposal of affordable housing units to registered providers.
- Highway-related obligations, including entering into s278 agreements.
- Transport-related commitments, such as travel plans, car club and cycle hire memberships, and parking restrictions.
- Sustainability obligations, including carbon offset reporting which may trigger financial contributions.
- Other planning requirements, such as the provision of communal spaces and public realm improvements.

4.18 Approximately half of the identified sites have now been brought into compliance, and most of the remaining developers are actively cooperating, with relevant submissions currently under review. The levels of non-compliance found highlight the importance of proactive monitoring. It ensures that planning obligations are fulfilled allowing delivery in full of the benefits secured through the planning process.

4.19 Between January 2024 and December 2025, the Development Infrastructure team made significant progress in enforcing s106 obligations on development sites ranging from small to major. A total of 75 Reminder Notices (Stage 1 of the s106 enforcement process), 29 Non-performance Notices (Stage 2), and 8 Final Warning Letters (Stage 3) were issued, reflecting a structured and proactive approach to compliance.

4.20 The team prioritises early engagement with developers to resolve issues at the first stage wherever possible, which has proven effective in reducing escalation and ensuring timely fulfilment of planning obligations. This consistent enforcement effort has strengthened accountability and contributed to improved monitoring and delivery of s106 commitments across the borough.

4.21 Other examples of effective enforcement in the last two years include:

- Recently securing just under £500,000 in a case where the team issued CIL related proceedings. The appellant paid in full before the matter reached court with the hearing being dismissed. This provides a clear example of how the new, proactive approach is delivering faster, more efficient outcomes.

- A Warning Stop Notice at a site in Streatham (Madeira Road) led to a payment plan being put in place.
- A recent Warning Stop Notice at a site in Norwood (77 Alexandra Drive), where c£160,000 of CIL was outstanding, led to full payment being received. This is the second instance where a Stop Notice Warning has led directly to constructive action.
- A recent Stop Notice issued at a site in Lansdowne Hill, where c£500,000 of CIL was outstanding, led to full payment being recovered. Since 2024/25, the team has successfully secured £1.45m in outstanding debts with support from the Council's legal prosecutions team. This includes £999,198 through eight Liability Orders granted. Four further Liability Orders, totalling £654,143 are scheduled for hearings in early 2026, whilst Liability Order Reminder Notices for five additional cases, worth c£170k, are due to be issued in January 2026.
- An additional £456,299 was collected prior to court hearings, demonstrating the effectiveness of proactive measures that often prevent the need for formal court proceedings.
- Coldharbour Lane: Enforcement case relating to a lack of car club provision on a development of over 100 flats developed over 10 years ago. The Development Infrastructure Team worked closely with the developer, Highways team and the car club provider to ensure that a new car club bay and car are provided (see image below) and car club memberships provided to occupiers of the development free of charge.

4.22 An analysis of the team's enforcement activity in the current financial year (to end of November 2025/26) demonstrates the impact of proactive action on recovering CIL and s106 monies:

Table 9: receipts received with/without intervention to 30/11/2025, FY25-26

Type	**% of receipts without team intervention**	**% of receipts with team intervention**
CIL (including Mayoral Receipts)	41%	59%
CIL (Lambeth only)	47%	53%
s106	48%	52%

Table 9 above shows that over half of all CIL and s106 receipts in the current financial year were recovered as a direct result of proactive enforcement, highlighting the effectiveness of the team's interventions.

4.23 These results demonstrate that a consistent, proactive enforcement approach is highly effective in securing compliance and recovering outstanding contributions. Early engagement with developers, structured reminder stages, and targeted formal action have enabled the Council to recover millions in outstanding CIL and s106 contributions, whilst also ensuring delivery of affordable housing, employment and skills commitments, transport measures and sustainability obligations.

By actively monitoring development sites and intervening where necessary, the Council enforces accountability and maximises the delivery of benefits for the community. This approach ensures planning obligations are fulfilled in full, producing tangible outcomes on the ground while minimising the need for lengthy court proceedings.

5 REGULATORY FRAMEWORKS

The Community Infrastructure Levy Regulations 2010 (as amended) (CIL Regs)

5.1 The CIL Regs introduced under the Planning Act 2008, established a fixed-rate charge on new development to help fund the infrastructure required to support sustainable growth, such as schools, health facilities, parks, climate resilience measures, and transport.

5.2 The CIL regime has become one of the most frequently amended areas of planning legislation, with significant changes introduced over time. Notably, the 2019 amendments removed the previous restriction on pooling s106 contributions [1] and introduced new requirements for annual Infrastructure Funding Statements (IFS) to improve transparency.

5.3 Charging authorities must adopt a CIL Charging schedule which sets the specific levy rates to be applied to different types of developments and locations, following public consultation and independent examination. Lambeth's first CIL Charging Schedule came into effect in 2014 and remains a key mechanism for supporting the delivery of the Borough Plan's priorities. Lambeth's CIL Charging Schedule was updated following examination and came into force in 2022.

Neighbourhood CIL (NCIL)

5.4 The regulations require that a designated portion of CIL receipts, known as Neighbourhood CIL (NCIL), is spent in consultation with local communities. The Council undertakes a variety of consultation activities to inform strategies, policies and programmes which NCIL helps to deliver.

5.5 Neighbourhood forums such as SOWN are key in helping to guide NCIL expenditure. This ensures that investment responds to the specific demands that development places on local areas, while also contributing to strategic objectives set out in the Borough Plan, Local Plan and Growth Plan. This ensures that the funding is directed toward addressing the specific impacts and demands that development places on neighbourhoods. It can be used to fund revenue or capital activities.

5.6 The Community Connections Fund competitive grants programme is another way of ensuring that NCIL is spent in supporting community groups to meet neighbourhood-specific needs and opportunities, which are aligned with the Council's strategic objectives set out in the Borough Plan.

5.7 The Cabinet report agreed on 5 July 2021, to formally revert to its position around the additional allocation of 10% CIL to a local level with Neighbourhood CIL being 15% of CIL receipts for areas

[1] Prior to the 2019 amendments, there was a limit that only five s106 agreements could be pooled for a single type of infrastructure project. For example, if a council wanted to fund a new school, it could only collect s106 contributions from up to five different developments for that school. After that limit was reached, the council could no longer request further s106 contributions for that same project and would have to rely on CIL or other sources.

without a Neighbourhood Plan and 25% for areas with a Neighbourhood Plan. Cabinet also agreed that CIL would be managed through the Council's Capital Investment Programme.

5.8 Neighbourhood planning is intended to give communities direct power to develop a shared vision for their neighbourhood and to shape development of their local area. A neighbourhood plan is prepared by a designated neighbourhood forum and once adopted, it becomes part of the statutory development plan alongside the Local Plan. In areas with an adopted neighbourhood plan – a greater proportion of CIL receipts must be allocated for local spending priorities. In Lambeth:

- The South Bank and Waterloo Neighbours (SOWN) area is currently the only adopted Neighbourhood Plan, meaning developments in this area contribute 25% of CIL receipts to NCIL, reflecting the enhanced role of neighbourhood plans in guiding local investment.

- All other areas without a neighbourhood plan receive the standard 15% NCIL allocation, subject to the annual cap of £100 (indexed) per Council Tax Dwelling in accordance with national regulations.

Section 106 planning obligations (s106)

5.9 Planning obligations - found within Section 106 of the Town and Country Planning Act 1990 (as amended) - are a mechanism by which a development that would otherwise be considered unacceptable can be managed by introducing a form of mitigation. They secure site-specific mitigation which could be in the form of financial payment or non-financial obligations such as affordable housing, restricting parking permits, requiring membership of car clubs etc. They are focused, site-specific obligations which reduce the impact that development would otherwise pose on the locality. They are negotiated on a case-by-case basis and are legally binding. S106 funds are predominantly secured and used for capital projects but revenue spend (for example on employment and skills initiatives) is also possible.

5.10 S106 obligations may also govern how developments are used or delivered, for example, affordable housing requirements, or restrictions on parking permits. If the s106 is not complied with, it is enforceable against the person that entered the obligation and/or any subsequent owner. The legal tests for s106 planning obligations are set out in regulation 122 of the CIL Regs. As well as the legal tests, the policy tests are contained in the National Planning Policy Framework (NPPF). The NPPF guides the planning process and sets out the Government's policies for England. It provides guidance for local authorities on items such as preparing Local Plans and making planning decisions.

Annual reporting – Infrastructure Funding Statement

5.11 The Council's annual IFS is the key mechanism to provide transparency and report on spend and allocation of CIL, NCIL and s106. The information that must be provided includes all the activity related to the relevant financial year being reported, as well as information on unspent money collected in previous years. It should also include the infrastructure projects or types the authority intends to be funded in part by CIL. Regulation 121A of the CIL Regulations 2010 (as amended) sets the full requirements; additionally planning practice guidance provides non-mandatory requirements for what should be provided.

5.12 The IFS helps communities and developers understand what the Council has allocated and spent developer contributions on. It also shows how the level of growth outlined in the Local Plan can deliver tangible outcomes and investment in infrastructure projects such as new public realm, health facilities, schools etc that will support long term growth and development of the borough.

Audit

5.13 As identified earlier in this report, the historical approach to monitoring, particularly in relation to non-financial s106 obligations, had been largely passive. Following the establishment of the Development Infrastructure team, a significant review was undertaken (prior to audit) to identify historic sites requiring monitoring along with a range of other process improvements which could be made. This led to a CIL and s106 process improvement programme.

5.14 In 2024/25, CIL and s106 processes were audited. The teams received acknowledgement and support for the programme from the auditors who recognised the good work done to date in terms of improvements and identified items for priority focus which was supported by the teams' own programme plan. However limited team capacity is a risk and may delay improvement project delivery, as well as lead to reduced oversight on sign offs and/or lead to errors in monitoring processes.

5.15 The auditor also reviewed a sample of non-financial obligations from this exercise and confirmed that all had been appropriately monitored, with records updated in a timely manner. This outcome highlights the positive impact the team has brought to strengthening governance and oversight of s106 obligations.

5.16 The auditor acknowledged the scale and scope of the improvement programme, recognising its breadth and the robust system established to manage over one hundred (100) identified areas for improvement. The audit outcome was rated as Reasonable, with no areas flagged as Critical or High. The auditor expressed confidence in the programme direction of travel and commended the teams' structured approach to tracking and monitoring progress. They also noted the presence of a strong management framework and the teams' management showing clear awareness of where further improvements could be made. This outcome highlights the significant impact and added value the team has delivered in strengthening governance and oversight of planning obligations.

6 Conclusion

6.1 Through effective monitoring, collection and coordination, developer contributions are being translated into real, visible improvements across Lambeth, from affordable housing and public realm upgrades to community facilities, jobs and skills and climate resilience.

6.2 Whilst there are significant unspent balances, in the context of severe financial challenges for local authorities across the UK, CIL and s106 funding provide the council with the ability to fund improvements to borough-wide infrastructure, mitigate the impact of development on communities and services, and ensure the benefits of growth and investment in the borough are felt by residents across the borough.

7 FINANCE

7.1 This report provides an overview of the development contributions received by the Council as of December 2025, along with projections of expected contributions in future years.

7.2 It should be noted that these projections are indicative and subject to change, influenced by broader economic conditions, variations in development activity, and potential changes in national policy or legislation.

7.3 The Council is currently in the process of updating its Capital Strategy which is planned to be considered by Council in March 2026 as part of the Budget papers. The updated Capital Strategy recognises CIL and s106 as a core funding source for the Council's capital programme. To optimise the use of CIL/s106 funds this will require greater alignment between the Capital Strategy and CIL/s106 allocation process; as well maximising the linkages to the Asset Management Strategy.

7.4 Lambeth Council use CIL and s106 development contributions to fund both infrastructure projects and mitigate development impacts. Please see paragraphs 3.26 – 3.28 for more information on how these funds are being considered within the capital and revenue budget setting process.

8 LEGAL AND DEMOCRACY

8.1 The Council is the charging authority and collecting authority for the purposes of the CIL Regs, Planning Act 2008 and the Town and Country Planning Act 1990. The Council is obliged to expend funds secured through the planning process for the purposes for which the funds were paid in accordance with the legal framework for planning obligations and CIL.

8.2 There were no further comments from Democratic Services.

9 CONSULTATION AND CO-PRODUCTION

9.1 Consultation with internal teams, and interaction with developers is an ongoing process in this. The team produce an annual Infrastructure Funding Statement in consultation with other services.

10 RISK MANAGEMENT

10.1 Not applicable to this report.

EQUALITIES IMPACT ASSESSMENT

11.1 An EIA was undertaken in 2024/25 and there are no negative impacts to the teams' work.

COMMUNITY SAFETY

11.2 Whilst not directly focused on community safety, the team's role in monitoring and enforcing s106 and CIL helps to enable projects that improve the public realm. This includes enhancements to lighting, street layouts, and other infrastructure that contribute to safer, more accessible neighbourhoods. By ensuring that developer contributions are effectively captured and paid, the team supports wider efforts to reduce anti-social behaviour and improve perceptions of safety across the borough.

CHILD FRIENDLY LAMBETH

11.3 Whilst not directly linked, the work the teams do supports Lambeth's ambition to become a child-friendly borough by ensuring that developer contributions are effectively managed and prioritised to deliver infrastructure that benefits children and young people. Improvements to governance and funding allocation processes will help accelerate delivery of projects such as safer streets, improved public spaces, and enhanced community facilities, including libraries and youth centres, that directly support the wellbeing, safety, and development of young residents. While this policy does not involve direct consultation with children and young people, it aligns with the Council's corporate parenting responsibilities by creating environments that are inclusive, accessible, and supportive of Care Leavers and Children Looked After. Future phases of the improvement plan could include, for example, exploration of opportunities for more structured engagement with young people to inform project prioritisation.

ORGANISATIONAL IMPLICATIONS

Environmental

12.1 None

Health

12.2 None

Staffing and accommodation

12.3 N/A

Responsible Procurement

12.4 N/A

Good Quality Jobs with Fair Pay and Decent Working Conditions

12.5 N/A

Quality Apprenticeships, targeted Employment for Lambeth residents and Lambeth Priority Group

12.6 N/A

Reduce Emissions: Lambeth Council has a commitment to being Zero Carbon by 2030

12.7 N/A

Single Use Plastics

12.8 N/A

Positive Health and Wellbeing

12.9 N/A

Other Offers (Innovation)

12.10 N/A

TIMETABLE FOR IMPLEMENTATION

12.11 N/A for this report.

AUDIT TRAIL

Name and Position/Title	Lambeth Directorate	Date Sent	Date Received	Comments in paragraph:
Councillor Danial Adilypour	Cabinet Member for Housing, Investment and New Homes	03/09/2025 And 15/10/2025	08/09/2025 and 20/10/2025	Throughout
Matthew Dibben - Director	Environment and Growth	16/01/2025	16/01/2025	Throughout
Matthew Blades – Director	Environment and Growth	08/08/2025	27/08/2025	Throughout
Nabeel Khan, Corporate Director	Environment and Growth	08/08/2025	22/10/2025	Throughout
Zena Cooke, Corporate Director	Corporate Resources	16/10/2025	22/10/2025	Throughout
Paul Badiani, Finance	Corporate Resources	08/08/2025	03/09/2025	Finance Summary and Finance section
Christopher Allingham, Principal Property, Planning & Regeneration Lawyer, Legal	Corporate Resources	29/08/2025	23/09/2025	Throughout
Rob Bristow, Director, Climate, Planning & Transport	Environment and Growth	28/08/2025	26/09/2025	n/a
Ciara Whelehan, AD Policy & Placeshaping	Environment and Growth	26/08/2025	26/08/2025	Throughout
Laura Davy, AD Neighbourhood Regeneration	Environment and Growth	13/01/2026	14/01/2026	Throughout
Glenn Hammons – Director of Finance Deputy S151 Officer	Corporate Resources	29/08/2025	11/11/2025	Throughout
Roger Raymond, Senior Democratic Services Officer, Democratic Services	Corporate Resources	03/09/2025	16/01/2026	Throughout

REPORT HISTORY

Original discussion with Cabinet Member	08/09/2025
Report deadline	21/10/2025 (draft); 10/11/2025 (final)
Date final report sent (For individual decision reports please delete this row if necessary)	
Part II Exempt from Disclosure/confidential accompanying report?	No
Key decision report	No
Date first appeared on forward plan	n/a

Key decision reasons	4. Not applicable.
Background information **MANDATORY:** It is a legal requirement to insert any **public** documents you have used or referenced to write this report. Do not list private documents (such as OB reports). Detailed procurement information will need to be provided in an internal procurement report but will not be appended to this report (and the public info will be a background document).	Cabinet report 2021 Infrastructure Funding Statement (IFS) Molior's 'Residential Development in London Q3 2025' report Institute for Public Policy Research – homes with planning permission not yet built since 2015 Terraquest research on planning permissions since 2015 Competitions & Market Authority final report – house building study
Appendices	*Appendix I CIL/s106 allocations & drawdown flowchart*

Appendix I

S106 / CIL - Allocations and Drawdown Process Flowchart